

versus one for \$1,500 a month, you may have no problem considering the more expensive option. In the end, though, both scenarios are going to take \$300 out of your monthly budget. While housing does provide more value than a gym membership, you still cannot forget the total amount of money it is going to cost you; either way, \$300 is \$300.

Transportation. In 2019, the average cost of automobile ownership in the U.S. was \$773.50 per month.²⁰ Personally, as someone who complains about spending \$250 per month on his car (including gas and insurance), I'm astounded by this number. I constantly see people with brand-new vehicles and cannot help but wonder: How can they afford that? The answer is quite simple: they can't.

There are many reasons Americans take out auto loans they cannot afford, but one of the biggest factors is the social status associated with cars. Like clothes, cars and trucks go through fashion cycles. One year, a Toyota Tacoma becomes the must-have vehicle; then it is a Mini, followed by a Jeep Grand Cherokee, and on and on. And because nearly every American needs a car, they find ways to justify buying more expensive makes and models. But just because everyone else is making poor financial decisions does not mean you should.

Food. People, especially younger people, spend crazy amounts of money on food. The average commercially prepared meal costs around \$13, whereas the average cost of a meal prepared at home is about \$4.²¹ While this \$9 difference may not seem too alarming, think about how often you need to eat, and

20 "Your Driving Costs: How Much Are You Really Paying to Drive?," American Automobile Association (AAA), last modified September 2019, <https://exchange.aaa.com/automotive/driving-costs>.

21 Amy Bergen, "The True Cost of Eating Out (And How to Save)," Money Under 30, last modified October 20, 2020, <https://www.moneyunder30.com/the-true-cost-of-eating-in-restaurants-and-how-to-save>.